CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. E1B524137
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
RELEASE IN PART

From: Brent A Price <brent.price@enron.com>
Sent: Wed, 28 Jun 2000 08:10:00 -0700 (PDT)
To: [REDACTED] B6
Subject: Re: Revised Operating Standards

More detail than you probably want on the document I gave you at the Doubletree.... Mike was responding to an email that Steve Young had sent him. Just wanted you to know that this is moving forward and that I will coordinate the Houston side of this for now (I will coordinate London going forward if that responsibility is given to me). Let me know if you have questions.

---------- Forwarded by Brent A Price/HOU/ECT on 06/28/2000 03:01 PM ----------

Mike Jordan
06/28/2000 07:26 PM
To: Steve W Young/LON/ECT@ECT
cc: Brent A Price/HOU/ECT@ECT, John Sherriff/LON/ECT@ECT, Tim Davies/LON/ECT@ECT, David Port/Market Risk/Corp/Enron@ENRON, Fernley Dyson/LON/ECT@ECT
Subject: Re: Revised Operating Standards

Steve

My assessment of the next steps are as follows :-

We finalise the intial draft of the one page summary - Action Mike/Brent to consolidate feedback to date - to be delivered tomorrow
The one pager to be sent to all business heads commenting on John's belief (which I think we all share) that the Business unit head has ultimate responsibility to ensure operating standards are met and that we aim to provide them with a joint summary of 'status' from Commercial Support and RAC. This summary could be reviewed by AA, but I believe the process would be more beneficial if it is
a self assessment process
escalates judgement on material issues
capable of being monitored and repeated on an agreed frequency
complimentary to the BRM process
The timeline for thie intial feedback could be within one week - I have an assessment from David Port to match to ours already!

As to your other questions

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I will be adding two additional detail points within the required structure definition - ie the structure must have :-

Full functionality and interfaces for market risk, credit risk and Corporate reporting, and/or a systems roadmap for that development
Appropriate involvement in business for specialist services (Legal, Tax and HR)

The Operating Standards MUST only cover one page to retain the ease of communication for them - the above definitions identify that businesses must consider all Legal and RAC issues - and there will significant detail involved in that - which will be defined elsewhere (see David's separate comments on risk reporting)

In summary I think it is best to move to publish the intial draft to stimulate communication - would welcome your thoughts

Mike

- some changes -awaiting possible additions from Brent - if none - to be published tomorrow

Steve W Young
27/06/2000 20:03
To: Mike Jordan/LON/ECT@ECT
cc: Brent A Price/HOU/ECT@ECT, John Sherriff/LON/ECT@ECT, Tim Davies/LON/ECT@ECT, David Port/Market Risk/Corp/Enron@ENRON, Fernley Dyson/LON/ECT@ECT

Subject: Re: Revised Operating Standards

Mike:

Is this the most current version of the proposed Operating Standards? Since I've been out of the office since we last discussed, I wanted to get an update on the status. A couple of questions:

What are the next steps?
How will this be communicated and to whom?
How do you see this being implemented to best assure it is respected?

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Legal Standards are absent? I suspect this is still in draft form and they are to follow in the next version; however, let me know how you see legal Standards playing into this as I believe they should be on this list as well.

As discussed, I strongly believe that a brief and clear list of "absolutes" similar to the attachment will be most useful if first agreed by all that need to be involved and then effectively communicated and respected by all in EEL. Let me know if this list is now considered representative of the views of all that need to have input. I suggest we meet again with a broader group to assure this list is complete and to discuss next steps. I have some suggested adjustments but will get back to you by end of week with comments or questions from RAC after we discuss this in our weekly RAC manager's meeting.

Thanks,

Steve

Brent A Price
15/06/2000 13:28
To: Mike Jordan/LON/ECT@ECT
cc: John Sherriff/LON/ECT@ECT, Steve W Young/LON/ECT@ECT

[REDACTED] B6